Spotlight Transcript

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[0:11] Anchor: This is Akashwani in the program spotlight. Now we bring you a discussion on the announcement of RBI bimonthly monetary policy. The participants are Anil Padmanabhan, economic analyst, and Arjun J. Chri, anchor. Today's topic of discussion is on the central bank RBI's bimonthly policy announcements today which was about the monetary policy committee meeting held between 5th and 7th October and it has been chaired by the RBI governor Sanjay Malhotra. A key announcement has been a 25 basis point hike which is a repo rate and on this we're joined by our economic analyst Shri Anil Padmanabhan. So a warm welcome to you on Akashwani.

[0:50] Anil Padmanabhan: Thank you for having me Arjun. Let's begin by understanding how important the repo rate is. It was at 5.25% earlier. The previous MPC meeting left it at neutral unchanged and now there has been a hike of 25 basis points. A number of reasons and factors have been announced as a reason behind making this 25 basis point hike. Would you agree with it and what are those factors?

[1:11] Arjun: Broadly the repo rate is a very important instrument to signal the interest rates in the economy. EMIs, loans, everything is linked to the repo rate. So it's a hugely significant number. Now the logic of what RBI has done is actually I will shrink it to a very simple reason. They have not raised it because inflation has become such a challenge to growth that it is going to impact growth. Neither is it that their outlook on inflation has taken a dramatic U-turn. It is just that they want to be ahead of the curve on inflation and since 2020 to be fair the Reserve Bank of India has been ahead of the curve when addressing **macroeconomic** concerns in the Indian economy.

So what it has done today is to signal to the economy that it is undertaking what it in its exact words used as **calibrated** tightening which does not mean that there will be a **subsequent** immediate increase in repo rates. Instead, it is saying that it'll be linked to what it perceives to be the overall macroeconomic outlook. So, it does believe that by increasing the interest rates at this point of time, it will not hurt the Indian growth **trajectory**.

Again, the Indian growth trajectory, the assumptions underlying the Indian growth trajectory have fundamentally changed and exactly why the Reserve Bank of India is confident that by increasing the interest rates, it will not **jeopardize** this growth **momentum**.

[2:40] Anil Padmanabhan: Well, **geopolitical** factors is something that has been cited by RBI governor Sanjay Malhotra and this is in sync and in trend with what the Bank of Japan has done, what the Federal Reserve has done, what the Bank of England has done. All central bank governors have taken a decision to fight inflation by raising the repo rate or the discount rate, whatever you want to call it, the rate at which commercial banks borrow from the central bank.

[3:07] Arjun: That's correct, Arjun. But you cannot compare the logic of what RBI did with what the other central banks are doing. In the United States, inflation has become a serious concern. You can look at the bond yields. They've gone through the roof after almost 30 years. And similarly, in Japan, it's a different problem because of the complicated state of the yen. In the Indian context, like I explained to you, there is no immediate threat of inflation. It is exactly what the word you used, geopolitical risks to India. So one of the key geopolitical risks to India is energy and energy prices because energy is being weaponized right now in the world. So there is a risk that price increases induced through energy price increases may **snowball** through the Indian economy.

As of now the Indian establishment has not passed on these increases in international oil prices to the consumer as yet. So the move by the Reserve Bank of India is recognizing that there is a threat of inflation but it has not reached a critical point where it will have to start increasing interest rates with the frequency that say the US Federal Reserve will have to do to beat inflation. We are not in that situation. So yes, the decision is all happening at the same time simultaneously but the logic driving the Reserve Bank of India is fundamentally different.

[4:25] Anil Padmanabhan: So our inflation projection is 5.2% for the financial year 2027 and the GDP growth forecast is up by 7.1%, a 40 basis point hike. So clearly when you say that the economic situation, the macroeconomics of India is very different from the countries that I've cited, is it because of the growth in manufacturing and services that we are seeing as compared to relatively it's more as compared to the other countries?

[4:58] Arjun: Oh absolutely. Actually there's a very big difference in the nature of India's growth as of now. See that's what I was saying repeatedly. I'm emphasizing that the Reserve Bank of India decision to increase interest rate is they're very clear that it will not compromise the growth momentum which is exactly why they've increased the growth projection for this fiscal year to 7.1%. Which given the global context is a **phenomenal** growth rate for any country to own particularly India. Now the nature of this growth is what is important. See previously if you looked after 2020 when the COVID 19 pandemic hit the country and the world, every country in the world has faced annual shocks for various reasons.

The Ukraine Russia conflict, the West Asia conflict, US federal interest rate increases and so on. There are a host of reasons but throughout the Indian economy was kept going largely because the Union government did two things. One they reined in their fisk. So the fiscal **consolidation** was on a glide path despite all these shocks with a gradually shrinking path. Second, it stepped up capital expenditure to ensure that the growth momentum is not lost. Basically at that point the government's expenditure on capital ensured the Indian economy continued to grow.

Now it is GDP numbers. What they showed us is that the investment in the economy has grown and this investment has not grown because of government capital expenditure but because of private capital expenditure. So what does that tell us that earlier India was running a one engine growth economy today it is running a twin engine growth economy and within that the sectors which you mentioned manufacturing and services are firing on all cylinders which is why I come back to the Reserve Bank of India's confidence that even if it increases the interest rates at this time it will not trip up the growth momentum of the Indian economy.

[7:41] Anil Padmanabhan: And the other I want to mention is the supply chain issues that globally including India faced during COVID but now you have a different type of issue which is again supply chain based but from the strait of Hormuz. So you feel that we seem to have capped it or **mitigated** the risk here.

[7:55] Arjun: Arjun I would say we have mitigated the risk in two ways. One India diversified its sources of imports much before the mess that has happened in strait of Hormuz and second it has also started investing in domestic capabilities.

In today's world where we are living in different kind of risks almost on a daily basis, mitigating risk is the mantra to maintain some **modicum** of macroeconomic stability. Now to answer your question on the debt to GDP ratio for the benefit of our listeners, interest rates like prices are derived from a pure demand supply factor. So if there is more demand and less supply the interest rates will go up just like in the case of inflation.

So when the government of India borrows less it is demanding less of borrowings from the market which means there's less debt it is raising which means the demand for debt is that much lower which puts the downward pressure on interest rates. Now that was what was missing in the previous fiscal policies adopted say even a decade or two earlier.

[11:33] Arjun: Companies most importantly can borrow capital at reasonable rates to fund their expansion which clearly they need to do now that the economy is clocking 7% growth in such **inclement** circumstances. There's a phenomenal growth momentum lying there. So which means companies need to go out and invest and the only way they can do it is if capital is affordable and capital can be affordable if the government stays out of that market not entirely but not over borrow.

[13:49] Anil Padmanabhan: Well thank you so much Anil Padmanabhanji for being with us on Akashwani and giving us such a detailed insight on the announcements of the central bank the RBI in its bimonthly monetary policy. Thank you.

[14:00] Arjun: Thank you so much for having me Arjun.

[14:02] Outro: You were listening to a discussion on the announcement of RBI bimonthly monetary policy. This program was produced and presented by the news services division of Akashwani. You can listen to it on our mobile app, News on AIR. This program is also available on our YouTube channel news on air official.